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Seminars:

Common Wisdom in Marketing: What we (think we) know and what there is to learn – Dr
Heiner Evanschitzky

Making Sense of Purpose, Sustainability, ESG and Governance – Dr Victoria Hurth

Introduction

Marketing has been around since the first goods and services were exchanged. As such, it is constantly developing and introducing new concepts that marketers have to adapt to. This does raise the question, however, of do we need to look back on ourselves and analyse the effectiveness of some of these foundational assumptions. In this essay, I will look at the Advanced Marketing Seminars done by Dr Victoria Hurth and Dr Heiner Evanschitzky. They both take a stance on this question, but from different angles. Hurth looks at the rise of sustainability as a core business value and how this reflects a greater change that needs to be made in business. This is a complete move away from self-interest to a more purpose-driven structure. While Evanschitzky teaches that marketing needs to become more critical and not simply look at metrics to dictate business decisions. He looks into methods traditionally used by marketers to analyse consumer behaviour and, through evidence, proves that they are not as effective as they are commonly assumed to be. Their seminars, while differing drastically in content, do share a common theme: marketing must evolve to remain credible in a rapidly changing and dynamic business environment.

Section A: Purpose-Driven Marketing

Sustainability is a continuously rising topic for businesses, with the past decade really seeing a change in mindset away from self-interested views, with profit-maximising as the most important issue, to more macro concepts being implemented into business models, such as climate change and social inequality.

In her seminar (2025), Dr Victoria Hurth explored the importance of sustainability and the crucial nature of changing corporations' self-interest structure into one of long-term well-being. Hurth challenged the assumption about corporate strategy, stating that despite the rise of sustainability values, these are hollow and won't truly have an effect unless corporations implement them into their governance. In her seminar, she introduces three logics that represent a spectrum of where businesses sit. Logic 1 – short-term self-interest – this is the typical nature that the traditional organisations sit with, profit-maximising being the core principle. Logic 2 – enlightened self-interest – this is where most modern organisations sit, where ESG and CSR principles exist within a company's parameters. Hurth's critique of this logic is that self-interest still remains prominent, where sustainability considerations are done simply to please stakeholders and, in particular, consumers. Logic 3 – long-term others' interest – the organisation's reason for existence is explicitly defined as contributing to overall sustainability. Financial capital as an objective is completely removed, but rather it exists simply as a parameter so the company can stay operational. In this logic, the concept of self-interest is replaced with purpose, which Hurth describes as "unleashes humanity back into the organisation and is the source of the sheer energy and creativity needed to break the inertia of a bad governance system." In her seminar, Hurth argues that the common perception that we as a society have become more attuned to sustainability efforts is flawed. The ESG arrangements that exist mostly exist to please stakeholders. Most ESG goals within organisations attempt to limit and not harm already degraded

resources. The long-term effects are that these ESG principles are not innovative and will not benefit others in the future.

Hurth's argument for purpose-centred business has been supported in literature, for example, Lyon et al. (2024) in an article discussing where the challenges purpose-driven businesses face exist. In which they define this business format as "organizations that pursue multiple objectives contributing to welfare of society and planet rather than a single preoccupation with generating profits or only maximizing shareholder value." Their argument states that challenges faced by these organisations are faced on three levels. The first is the individual level, where people at the managerial level struggle to implement environmental and societal goals while also being pressured to maximise shareholder value. The second is that outside supporters are taking an ecosystem approach. They found that those offering advisory services are challenged by also being on boards or investors that have mixed interests. The final level is found at a more macro-level, where weak policy and the lack of support for purpose-driven business exist due to a great history of business being driven by self-interest and profit. Slight macro instances, such as a lack of reporting on environmental impacts, make it hard for investors and investees to consider such issues in business. Furthermore, in the UK, while companies have to offer their financial statements, there are no such requirements for social and environmental reporting.

Hurth's argument has gained a lot of traction in recent years. Despite this, one can measure the early groundwork from which this argument gained momentum. Porter and Kramer (2011) introduced the concept of Creating Shared Value (CSI). Much like Hurth's evolution from Logic 2 to Logic 3. Porter and Kramer suggest the same shift from Corporate Social Responsibility (CSR) to CSI. The principle is shared in their start from mitigating harm to creating systematic change. In relation to CSI, Porter states, "Companies have overlooked opportunities to meet fundamental social needs and misunderstood how societal harms and weaknesses affect value chains" (Harvard Business School, 2022). This isn't the only early attempt either, John Elkington's (1994) Triple Bottom Line encourages firms to measure success through financial, societal and environmental impacts. Conscious capitalism, promoted by Mackey and Sisodia (2014), explores a higher purpose, conscious leadership and a caring culture in the business world. Best exemplified by Firms of Endearment, a term they use to describe companies that authentically commit to purpose.

One thing that research supports is the importance of marketing in advancing purpose-driven businesses. Marketing takes on the role of middleman between a company and its stakeholders. As such, it is important in mediating the transition from a self-interested company to a purpose-driven company. Rashkova and Moi (2023) state that when marketing is centred on societal values, "marketing has the power to improve lives and benefit the world at large." Sustainability marketing moves beyond superficial green washing to promoting a regulatory framework towards carbon emissions and waste, circular economy, and innovation (White et al., 2024). The encouragement of recycling and other sustainable behaviours through marketing aligns their company with consumers' ideals and drives a move towards purpose.

As described by Porter and Hurst, this move towards purpose-driven companies doesn't necessarily mean it hinders financial performance. Walter et al. (2024) conducted a study that showed that brands with an authentic purpose positively affect brand credibility. Marketing through greenwashing or woke washing, however, has had the reverse effect. Brand purpose has other favourable marketing outcomes, with brand loyalty and brand evangelism being examples of such (Williams et al., 2022). The more brands that centre themselves on purpose will likely result in greater movement towards making systematic change, which will then make it even easier for other companies to follow.

Section B: Rethinking Consumer Metrics

Dr Heiner Evanschitzky, in his 2025 Advanced Marketing Seminar, presents an argument for marketers to use critical thinking. He does this by debunking common notions that one would assume to be correct. To do this, he looks at predicting consumer behaviour and the likelihood of repurchase. In his seminar, he debunks common metrics used in marketing to make these forecasts. Loyalty schemes, commonly seen as a way to encourage repeated business, are debunked for having little effect on true customer loyalty, and customer satisfaction is critiqued for its inaccuracies.

One thing that marketers tend to assume to be true is the effect of loyalty schemes on repeat purchases. This idea is supported such as by Myftaraj and Trebicka (2023), who state that those who were part of a loyalty program visited and spent more than non-members. However, Evanschitzky challenged the notion of loyalty programs in enhancing customer loyalty. He demonstrated that loyalty programs do not enhance brand loyalty rather loyalty to the loyalty program itself. In his work, he confirmed that customers often show loyalty to the program itself, creating a shallow form of retention (Evenschitzky et al., 2012). Furthermore, customers part of loyalty schemes do not spend more, either, as customer loyalty is completely unrelated to profitability.

Customer satisfaction (CSAT) is a highly utilised metric in marketing because it has been commonly associated with repeat purchases and lower defection rates. This has been an established concept, such as Anderson and Mittal (2000) and Bolton (1998), who affirm a positive correlation between CSAT and repurchase intentions. Even more recently, Mittal et al. (2023) released a study where they looked at roughly 1.1 million observations to examine the relationship between CSAT on both customers and firms. Their findings on the customer showed that they would spread word-of-mouth (WOM) more likely with higher CSAT and that there was a strong correlation between CSAT and customer retention. On the firm side, there was a positive correlation with sales, profit and a negative correlation with risk. All this is to show that the basic idea is that customer satisfaction has an impact on customer retention. Evanschitzky counters this by stating that 65-85% still defect. His perspective aligns with that of other scholars such as Richard Oliver. Oliver (1999) concludes that satisfaction is needed for loyalty, but becomes less important than other factors after a certain point of satisfaction is reached.

That being said, Evanschitzky does state that satisfied customers and very satisfied customers do vary drastically. This is supported by the work of Haan et al. (2015), who conclude that customer satisfaction does significantly better with customer retention when dealing with the extremes. They describe it as the “Top-2-Box” method, where a customer who gives the highest satisfaction scores will be easier to predict their retention than average satisfied levels. The result is that the difference between 8/10 and 9/10 is larger than any of the lower ratings. However, they also argue that this does not discredit customer satisfaction as it can be used alongside other customer feedback metrics, such as NPS or CES, to get a more accurate prediction of their retention. While Evanschitzky didn’t talk about the merits of continuing to collect CSAT, he does provide an alternative: customer inspiration.

Customer inspiration is an increasingly studied metric as it allows for marketers to get a more nuanced understanding of consumer behaviour (Frasquet & Ieva, 2024). It is defined as “a customer’s temporary motivational state that facilitates the transition from the recognition of a marketing-induced idea to the intrinsic pursuit of a consumption-related goal.” Evanschitzky states that inspiration is a far better predictor of behaviour than satisfaction. Looking at the numbers, customer inspiration scores are much lower than the satisfaction score, so they are slightly more in tune with predicting customer behaviour. Hernani-Merino et al. (2023) conducted a study where they looked at customer inspiration in more depth in the context of Apple and Samsung users. They found that not only did it enhance repurchase intention, but it also improved customer satisfaction, WOM and brand engagement in self-concept (BESC).

Evanschitzky looks at inspiration as a better metric than customer satisfaction in predicting repurchase likelihood. But customer metrics also have other benefits that customer satisfaction doesn’t carry, such as increasing impulse buys and shortening the decision cycle. Unplanned purchases are the more traditional use of customer inspiration. Impulse buying is commonly brought on by a sudden wave of inspiration. A key use of marketing stimuli, like a product display, can result in this “inspired-by” state. Inspiration can prove to be a more effective driver of impulse buying than the traditional methods, like sales promotion, because it is motivated by consumers’ internal desires (Böttger et al., 2017). Meanwhile, it also has a role in shortening the decision cycle by enhancing desires and motivation.

Customer inspiration, more so than satisfaction or loyalty schemes, serves as a more effective driver of repeat purchases because of the deeper brand engagement and heightened emotional connection it fosters. All these structures are very interconnected, but they have different roles, which cause different impacts. One of the biggest influences, however, is timing. Satisfaction is formed post-consumption, loyalty schemes are developed over time, but inspiration happens before consumption. As such, it makes logical sense that it has the largest impact on consumer behaviour. That being said, having them all interconnected also means that each will impact the other. Customer inspiration will deepen and enrich satisfaction. Greater satisfaction will promote loyalty.

Conclusion

In conclusion, the seminars led by Dr Victoria Hurth and Dr Heiner Evanschitzky challenge marketers to be more critical in their approach to marketing. Their seminars prove that assumptions about marketing concepts can be a threat to a business. Hurth shows that the rise in sustainability should not be done just to please stakeholders but rather because the company is purpose-driven. In the future, companies should truly rethink that the metrics of success, profit, or retention must fall to the wayside for long-term societal well-being. Her transition from Logic 2 to Logic 3 is the move away from self-interest to others' interest. Similarly, Evanschitzky teaches that more goes into consumer behaviour than simple metrics. His look into the superficial means of loyalty through loyalty programs or the unreliable nature of customer satisfaction in lowering defection rates shows the misleading nature of metrics. Even his alternative solution through customer inspiration must not be taken at surface value. Truly predicting consumer behaviour requires being critical of all these different factors. In similar ways, Hurth and Evanschitzky challenge marketing as a discipline. The challenge of these traditional KPIs is representative of the old-fashioned role that marketing has become. To them, the marketing of the future will have to become a more reflective, critical and responsible discipline.

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